

SERVICE AGREEMENT

This Service Agreement ("Agreement") is entered into as of January 1, 2024, by and between TechCorp Inc. ("Provider") and ClientCo LLC ("Client").

WHEREAS, Provider is in the business of providing software development and consulting services; and WHEREAS, Client desires to engage Provider to perform certain services as described herein.

NOW, THEREFORE, in consideration of the mutual covenants and agreements set forth herein, the parties agree as follows:

1. SCOPE OF SERVICES

Provider shall perform the following services for Client:

- (a) Design and development of a custom enterprise resource planning system
- (b) Integration with existing Client databases and workflows
- (c) Training and documentation for Client staff
- (d) Ongoing maintenance and support for a period of 12 months

2. TERM AND TERMINATION

2.1 Term. This Agreement shall commence on the Effective Date and shall continue for a period of twenty-four (24) months, unless earlier terminated in accordance with this Section 2.

2.2 Termination for Convenience. Either party may terminate this Agreement upon ninety (90) days' prior written notice to the other party.

2.3 Termination for Cause. Either party may terminate this Agreement immediately upon written notice if the other party:

- (a) Materially breaches this Agreement and fails to cure such breach within thirty (30) days after receiving written notice thereof;
- (b) Becomes insolvent or files for bankruptcy protection;
- (c) Ceases to conduct business in the normal course.

2.4 Effect of Termination. Upon termination:

- (a) Client shall pay Provider for all services performed through the termination date;
- (b) Provider shall deliver all work product completed to date;
- (c) Each party shall return all confidential information of the other party.

3. COMPENSATION

3.1 Fees. Client shall pay Provider a monthly fee of \$25,000 for the duration of this Agreement.

3.2 Expenses. Client shall reimburse Provider for all reasonable out-of-pocket expenses incurred in connection with the services.

4. INDEMNIFICATION

4.1 Provider Indemnification. Provider shall indemnify, defend, and hold harmless Client and its officers, directors, employees, and agents from and against any and all claims, damages, losses, costs, and expenses (including reasonable attorneys' fees) arising out of or relating to:

- (a) Provider's breach of this Agreement;
- (b) Provider's negligent or willful misconduct;
- (c) Any infringement of third-party intellectual property rights by the work product delivered under this Agreement.

4.2 Client Indemnification. Client shall indemnify, defend, and hold harmless Provider from and against any claims arising from:

- (a) Client's use of the work product in violation of this Agreement;
- (b) Client's breach of applicable laws or regulations.

5. LIMITATION OF LIABILITY

5.1 IN NO EVENT SHALL EITHER PARTY BE LIABLE FOR ANY INDIRECT, INCIDENTAL, SPECIAL, CONSEQUENTIAL, OR PUNITIVE DAMAGES ARISING OUT OF THIS AGREEMENT.

5.2 The total aggregate liability of Provider under this Agreement shall not exceed the total fees paid by Client during the twelve (12) month period preceding the event giving rise to the claim.

6. FORCE MAJEURE

Neither party shall be liable for any failure to perform its obligations under this Agreement if such failure results from circumstances beyond the reasonable control of that party, including but not limited to natural disasters, war, terrorism, pandemic, government actions, or failure of third-party infrastructure. The affected party shall provide prompt notice and use reasonable efforts to mitigate the impact.

7. INTELLECTUAL PROPERTY

7.1 Work Product. All work product created by Provider under this Agreement shall be considered "work made for hire" and shall be the exclusive property of Client upon full payment.

7.2 Pre-existing IP. Provider retains all rights in its pre-existing intellectual property, tools, and methodologies. Provider grants Client a non-exclusive, perpetual license to use such pre-existing IP solely as incorporated in the work product.

8. CONFIDENTIALITY

8.1 Definition. "Confidential Information" means any non-public information disclosed by one party to the other, whether orally, in writing, or by inspection, including but not limited to trade secrets, business plans, technical data, customer lists, and financial information.

8.2 Obligations. The receiving party shall:

- (a) Use Confidential Information solely for purposes of this Agreement;
- (b) Not disclose Confidential Information to any third party without prior written consent;
- (c) Protect Confidential Information with the same degree of care used for its own confidential information, but no less than reasonable care.

8.3 Duration. The obligations of confidentiality shall survive termination of this Agreement for a period of five (5) years.

9. GOVERNING LAW

This Agreement shall be governed by and construed in accordance with the laws of the State of Delaware, without regard to its conflicts of law principles.